

Palantir Technologies Inc.

PLTR NYSE

Hold	\$179.94 ▲ 3.44%	12M Price Target \$190.00	52-Week Range \$106.37 – \$207.52	Market Cap \$432.41B
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PLTR: Riding AI-Defense Wave But Insiders Cashing Out

WHAT HAPPENED

- PLTR ripped +3.44% to \$179.94 on 41M shares — heaviest volume of the week. The tell: options desks are loading up on August \$182.50 and \$185 calls at 2-3x normal open interest, meaning traders are betting on more upside in the next few days. This is momentum chasing, not fundamental news.
- But under the hood, two warning flags: Cathie Wood (ARK) dumped \$27M after a 43% rally, and Director Alex Moore sold ~\$2.8M last week. When insiders and famous bulls sell into strength, it usually means they think the easy money's been made.

WHY IT MATTERS

Here's what today really means: PLTR has become the market's proxy bet on Trump-era federal AI spending, and the Peter Thiel "AI is about power, not chips" narrative is giving it a fresh tailwind — Thiel's fund pivoting toward AI infrastructure/power validates PLTR's positioning as the software layer on top of that buildout. But at \$432B market cap and ~90x sales (investors paying \$90 for every \$1 of annual revenue), this stock now needs perfection to justify the price. The insider cluster selling tells you people closest to the business think it's fully valued here. Translation: the trend is your friend until it isn't — ride it, but don't marry it.

POLICY & POLITICAL WATCH

The big one to watch: the FY2027 defense appropriations bill working through Congress includes expanded funding for the Army's TITAN program and JADC2 (joint battlefield AI) — both are PLTR strongholds. If that clears in September, it's a direct multi-year revenue tailwind. On the flip side, the "AI Debt Boom" headline matters: rising rates from AI capex borrowing (data centers issuing tons of debt) push up the cost of capital, which mathematically hurts high-multiple stocks like PLTR the most — meaning even good news could get muted if 10-year Treasury yields spike.

IS IT EXPENSIVE?

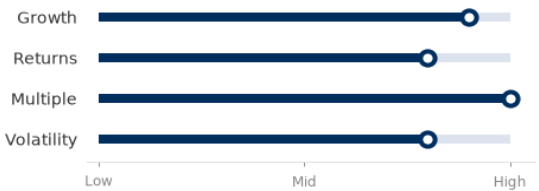
Let's be honest — this stock is priced for a miracle. At ~90x forward revenue and ~290x forward earnings, investors are paying \$290 for every \$1 of profit PLTR will make next year, versus maybe \$30-40 for a typical software company. The bull case: 55-cent profit margin on every revenue dollar (per Motley Fool) is genuinely elite, and government contracts are stickier than commercial ones. But you're not buying a stock at this price — you're buying an option on PLTR becoming the default operating system for the U.S. government and Fortune 500.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$179.94
12M Price Target	\$190.00
Upside / (Downside)	+5.6%
Market Cap	\$432.41B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.88
Fwd P/E	290.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$200.00	\$182.00	\$160.00
6 Months	\$230.00	\$190.00	\$140.00
1 Year	\$260.00	\$200.00	\$120.00
2 Years	\$320.00	\$220.00	\$100.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$800.00	\$400.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+2.14%) and Healthcare (+1.29%) leading — Materials benefiting from infrastructure/reshoring policy; Healthcare catching a bid on defensive rotation.

COOLING OFF: Communication Services and Financials lagging on the 5-day — Financials specifically hurt by curve dynamics and that rising cost of capital story.

ROTATION WATCH: Money is favoring hard-asset and defensive names over pure growth, which is a slight yellow flag for PLTR — but AI/defense is its own micro-sector that's playing by different rules right now.

RELATED PLAY: The Thiel "AI = power" thesis points to nuclear/utility names (VST, CEG, TLN) and data center REITs (DLR, EQIX) as the picks-and-shovels play if PLTR keeps running.

WHO'S WINNING IN THIS SPACE?

- ANET (Arista Networks): AI networking backbone — every data center buildout needs their switches.
- VST (Vistra): Power play — nuclear/gas exposure is the "AI needs electricity" trade Thiel is signaling.

PLTR CONTEXT: PLTR is leading its software AI peer group (outperforming SNOW, MDB, DDOG) but lagging the pure AI infrastructure names on a 1-month basis. That tells you the market currently prefers picks-and-shovels over software — PLTR's rally today may be catch-up, not new leadership. Watch if it can hold above \$175 to confirm the breakout.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, hate the entry price. This is a hold-what-you-have, don't-chase situation.

POSITION SIZE: 2-3% max. The story is real but the volatility is brutal — a 20% drawdown from here is entirely possible on nothing more than sentiment shift.

ENTRY POINTS: I'd want \$150-160 to add meaningfully. If you're not in yet, wait for a market-wide risk-off day rather than chasing green candles.

TIME HORIZON: 12-24 months, with the key catalyst being FY2027 defense appropriations and the next 2 earnings reports showing commercial revenue >40% growth.

WHEN TO BAIL: Revenue growth drops below 30% YoY, a major government contract gets cancelled, or the stock breaks \$150 on heavy volume (that's the technical support I care about).

HEDGING: Simplest move — if you're up big, sell a third and let the rest ride. Or buy 6-month puts ~10% below current price as insurance; they'll cost you a few percent but cap your downside if the AI trade unwinds.